

INDIAN ECONOMY

LEVEL
II



LECTURES

- RANDOM THOUGHTS ON ECONOMY
- ECONOMIC SYSTEMS

MODULE - 1



UNDERSTANDING ECONOMICS ... SOME RANDOM THOUGHTS!

1

Highly dynamic

1980s



2019



2

Changing preferences

1990s



2019





UNDERSTANDING ECONOMICS ... SOME RANDOM THOUGHTS!

3

Ease in getting the services

EARLY 2000s



2019



4

Change in the human interests

1990s



2019





UNDERSTANDING ECONOMICS ... SOME RANDOM THOUGHTS!

5

Changing dynamics of cities

20th CENTURY



21st CENTURY



6

Change in the role of Governments

UGANDA



USA





UNDERSTANDING ECONOMICS ... SOME RANDOM THOUGHTS!

7

Upward mobility is the trait

2000s



2019



8

Profit is the driving force



Microsoft

BILL GATES
Founder, Microsoft



amazon

JEFF BEZOS
CEO, Amazon



UNDERSTANDING ECONOMICS ... SOME RANDOM THOUGHTS!

9

Choices are based on circumstances



10

Choices are based on awareness



11

Choices does not look at availability of resources



12

Economy does not look at social progress of the society



How individual, society and the Government make their prioritised choices in the process of using the scarce resources determines economics and the choices change with time.

1

Betterment of human life on Earth



2

Improving the living conditions of the humanity



3

Maximising the economic potential and worth



STEPS INVOLVED IN THE PROCESS

1 PRODUCTION



2 SUPPLY



3 PRICING



WHO WILL DO ALL THESE ACTIVITIES?

1

GOVERNMENTS

- State takes the **sole responsibility** of supplying goods and services required by the population.
- **No payment** is made by the consumer.
- Former Soviet Union and Communist China are the best examples.

2

PRIVATE SECTOR

- Goods and services are made available in the market on the **basis of the demand and supply** and the prices are determined in the open market.
- Examples are the countries of Euro-America.

3

GOVERNMENTS + PRIVATE SECTOR

The distribution system has certain goods and services, which might be made available to population **freely or at the subsidised prices** and some might be supplied by the market for which the **consumers need to pay.**

As the socio-economic composition of the population of an economy changes, the mixture of goods and services to be supplied by the state and the market forces get redefined!

DIFFERENT STAGES OF EVOLUTION ... CHANGING ROLE OF GOVERNMENT AND THE MARKET FORCES!

1960s



2019



DIFFERENT STAGES OF EVOLUTION ... CHANGING ROLE OF GOVERNMENT AND THE MARKET FORCES!

1950s



1990s



2019



THREE ECONOMIC MODELS AND THEIR EVOLUTION

1

CAPITALISTIC ECONOMY

THE WEALTH OF NATIONS



ADAM SMITH
1723-1790

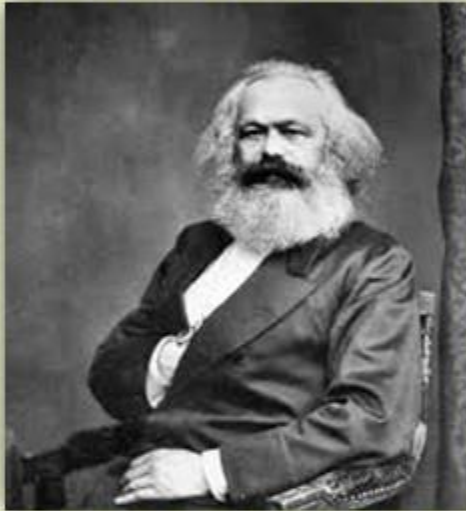
- Adam Smith was the Scottish philosopher, economist, professor at the University of Glasgow.
- He was **against Government regulation** of industry.
- He stressed upon an environment of '**laissez faire**' i.e., non-interference by the Government.
- **State of equilibrium** in the economy can be built by market forces.
- **Invisible hand of market forces** ensures competition in the market.
- **Innovation** is rewarded.
- **Best product** at best prices.

Once the USA attained independence, the ideas of Adam Smith were made part of its public policy, just one year after 'The Wealth of Nations' was published. Subsequently, the idea spread to several countries in Europe and this led to the evolution of capitalism.

THREE ECONOMIC MODELS AND THEIR EVOLUTION

2

STATE ECONOMY

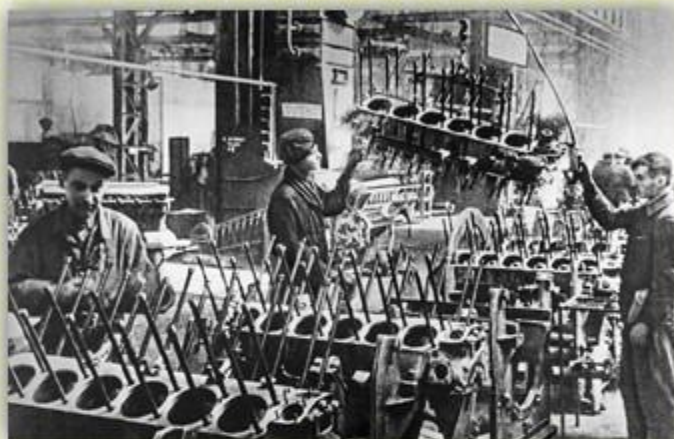


KARL MARX,
German Philosopher

- The idea is, the decisions related to **production, supply and prices** are to be taken solely by the Governments.
- Such type of systems are called **centralized economy, centrally-planned economy, non-market economy** etc.
- The idea came out of the context that, **capitalistic economies** were considered as **highly exploitative**.

It first came up in the erstwhile USSR, after the Bolshevik Revolution and got final shape in the People's Republic of China. But, there are fundamental differences between socialist economy and communist economy.

THREE ECONOMIC MODELS AND THEIR EVOLUTION



This kind of economic system first came up in USSR after the Bolshevik Revolution in 1917. other examples are Nazi-Germany, Cuba, Venezuela etc.

2

STATE ECONOMY

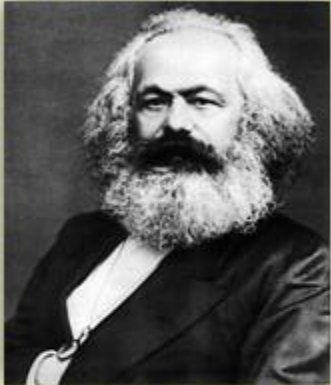
SOCIALIST ECONOMY

- It is based on public ownership, also known as collective or common ownership of the means of production i.e., machinery, tools and factories.
- It revolves around centralised planning.
- It ascribes large role to the State in running the economy, including distribution decisions.
- Idea is equal distribution of goods and services, move towards more equitable society.
- Individuals rely on the State, for everything from food to healthcare.
- The Government determines the output and pricing levels of these goods and services.
- The prime idea is production for use, rather than for profit.

THREE ECONOMIC MODELS AND THEIR EVOLUTION

2

STATE ECONOMY



KARL MARX
German Philosopher



FRIEDRICH ENGELS
German Philosopher

Communist manifesto was published in 1848. The ideology is total opposition to liberal democracy and capitalism. Example is China, prior to 1980s.

COMMUNIST ECONOMY

- Absolute power for the State in running the economy, including control on labour.
- Private property is non-existent or severely curtailed. The means of production are owned communally i.e., right to use resources are held by a community.
- It advocates classless system.
- The ultimate goal is people should live in social equilibrium without class distinctions, family structures, religion or property.
- The famous Marxist slogan is, “from each according to his ability to each according to his needs”.

Socialism is considered as transitional stage to communism, but it never did happen in reality!

IN DUE COURSE OF TIME, FLAWS WERE EXPOSED IN BOTH THE MODELS

CAPITALISTIC ECONOMY

- Inequality
- Monopoly
- Scant regard for environment
- Sole profit motto
- Look for short-term gains
- May not benefit all the sections
- External costs are ignored
- Lacks equality of opportunity



STATE ECONOMY

- Slow economic growth
- Less entrepreneurial opportunity
- Lack of competition and innovative spirit
- Lack of motivation by individuals due to lesser rewards
- State controls stifle individual freedoms
- Reduced prosperity
- Without pricing mechanism, allocation of resources becomes irrational.

THREE ECONOMIC MODELS AND THEIR EVOLUTION

3 MIXED ECONOMY

WHY THE THOUGHT OF MIXED ECONOMY CAME TO THE FOREFRONT?

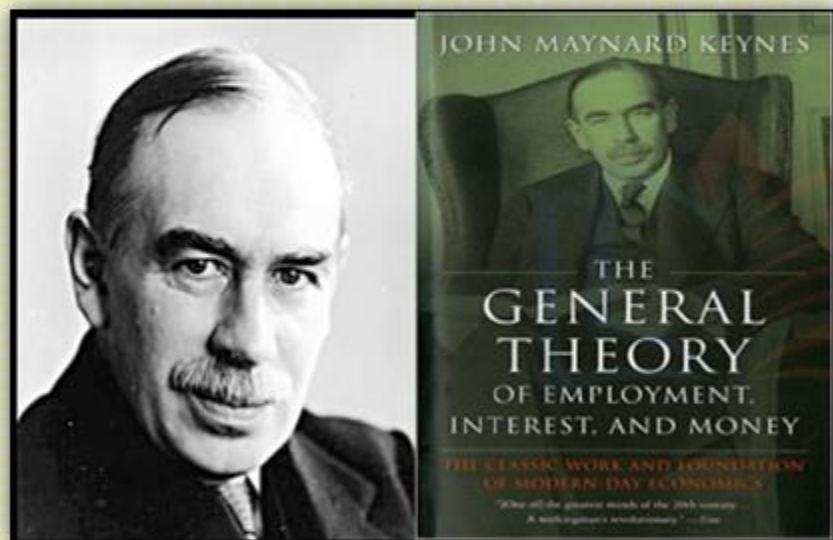


- As we have already seen, the **invisible hand** of the market forces will have the **capability of self correction**.
- But, during the **Great Depression**, it was belied. It spread from USA to several countries of western Europe.
- It resulted in large scale **unemployment**, downfall in demand and economic activities, lock-outs of industrial enterprises etc.
- At that time, the prevalent **macro-economic theories** and **practices** failed to check the crisis. People had to look for **alternate approach**.

THREE ECONOMIC MODELS AND THEIR EVOLUTION

3 MIXED ECONOMY

WHAT IS THIS NEW APPROACH?



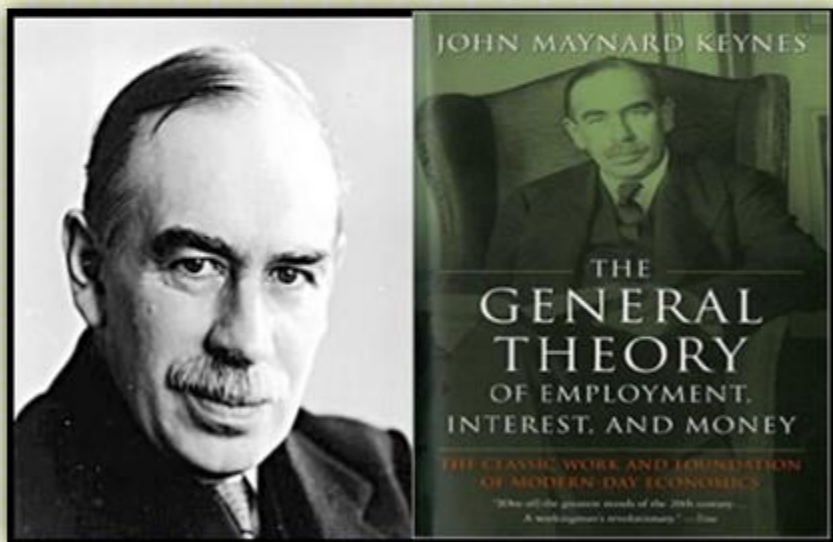
JOHN MAYNARD KEYNES,
1883-1946

The **new approach** came in the form of the book, "**The General Theory of Employment, Interest and Money**" by the English economist at the Cambridge University, John Maynard Keynes.

THREE ECONOMIC MODELS AND THEIR EVOLUTION

3 MIXED ECONOMY

WHAT ARE THE CONCLUSIONS OF JOHN MAYNARD KEYNES?



JOHN MAYNARD KEYNES,
1883-1946

- He questioned the principles of '**laissez faire**'.
- Prices and wages are **not flexible enough** to provide employment to all. It **strangulates the poor**.
- Even though the economy may be running full steam, but still there may be **fall in demand** and it may result in **recession** and if unchecked, results in **depression**, what happened in **1929**.
- He suggested **strong Government interventions** in the economy.

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